ORDINANCE NO. 516

AN ORDINANCE AMENDING ORDINANCE NO. 515 PASSED AND APPROVED JULY 10TH, 2006 AND FOR OTHER PURPOSES

BE IT ORDAINED BY THE CITY COUNCIL OF THE CITY OF RECTOR, ARKANSAS:

That Ordinance No. 515 is hereby amended as follows:

SECTION 1.: Section 4.3 is hereby amended to read as follows:

4.3 Rates and Charges. Franchising Authority may not regulate the rates for the provision of Cable Service or other service, including, but not limited to, ancillary charges relating thereto, except as expressly provided herein and except as may be authorized pursuant to federal and state law. From time to time, and at any time, Grantee has the right to modify its rates and charges, at its discretion and without consent of Franchising Authority, including, but not limited to, the implementation of additional charges and rates; provided, however, that Grantee shall give notice to Franchising Authority of any such modifications or additional charges thirty (30) days prior to the effective date thereof.

SECTION 2.: Section 4.4 is hereby amended to read as follows:

4.4 Conditions of Sale. Except to the extent expressly required by federal or state law, if a renewal or extension of the Franchise is denied or the Franchise is lawfully terminated, and Franchising Authority either lawfully acquires ownership of the Cable System or by its actions lawfully effects a transfer of ownership of the Cable System to another party, any such acquisition or transfer shall be at a fair market value, determined on the basis of the Cable System valued as a going concern.

Grantee and Franchising Authority agree that in the case of a lawful revocation of the Franchise, at Grantee's request, which shall be made in its sole discretion, Grantee shall be given a reasonable opportunity to effectuate a transfer of its Cable System to a qualified third party. Franchising Authority further agrees that during such a period of time, it shall authorize Grantee to continue to operate pursuant to the terms of its prior Franchise; however, in no event shall such authorization exceed a period of time greater than six (6) months from the effective date of such revocation. If, at the end of that time, Grantee is unsuccessful in procuring a qualified transferee or assignee of its Cable System which is reasonably acceptable to Franchising Authority, Grantee and Franchising Authority may avail themselves of any rights they may have pursuant to federal or state law; it being further agreed that Grantee's continued operation of its Cable System during the six (6) month period shall not be deemed to be a waiver, nor an extinguishment of, any rights of either Franchising Authority or Grantee. Notwithstanding anything to the contrary set forth in this Section 4.4, neither Franchising Authority nor Grantee shall be required to violate federal or state law.

All other portions of Ordinance No. 515 shall remain in full force and effect.

SECTION 3.: It is determined by the City of Rector due to the need for matters to be resolved before the next council meeting on October 2nd 2006, therefore that an emergency is declared to exist and this ordinance shall be in full force and effect upon it's passage.

SECTION 4.: All Ordinances and parts of Ordinances in conflict within the provisions of this Ordinance are hereby repealed. Unless specifically amended herein, all other portions of Ordinance No. 515 shall remain in full force and effect.

PASSED AND APPROVED on this 11th day of September 2006.

Mayor Ron Kemp

ATTEST:

City Clerk, Lowell McKinney

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